states and levied huge fines and tributes upon them. They had made large territorial and monetary claims upon Awadh. Their actions in the Punjab had angered the Sikh chiefs. Similarly, the Jat chiefs, on whom they had also imposed heavy fines, did not trust them. They had, therefore, to fight their enemies all alone, except for the weak support of Imad-ul-Mulk. Moreover, the senior Maratha commanders constantly bickered with one another.

The two forces met at Panipat on 14 January 1761. The Maratha army was completely routed. The Peshwa's son, Vishwas Rao, Sadashiv Rao Bhau and numerous other Maratha commanders perished on the battlefield as did nearly 28,000 soldiers. Those who fled were pursued by the Afghan cavalry and robbed and plundered by the Jats, Ahirs, and Gujars of the Panipat region.

The Peshwa, who was marching north to help his cousin, was stunned by the tragic news. Already seriously ill, his end was hastened and he died in June 1761.

The Maratha defeat at Panipat was a disaster for them. They lost the cream of their army and their political prestige suffered a big blow. Most of all, their defeat gave an opportunity to the English East India Company to consolidate its power in Bengal and south India. Nor did the Afghans benefit from their victory. They could not even hold the Punjab. In fact, the Third Battle of Panipat did not decide who was to rule India but rather who was not. The way was, therefore, cleared for the rise of the British power in India.

The 17-year-old Madhav Rao became the Peshwa in 1761. He was a talented soldier and statesman. Within the short period of 11 years, he restored the lost fortunes of the Maratha empire. He defeated the Nizam, compelled Haidar Ali of Mysore to pay tribute, and reasserted control over northern India by defeating the Rohelas and subjugating the Rajput states and Jat chiefs. In 1771, the Marathas brought back Emperor Shah Alam to Delhi, who now became their pensioner. Thus it appeared as if Maratha ascendancy in the north had been recovered.